

A Study on the Growth and Impact of E-Commerce in India

Nitika Suthar

PG Student (Business Administration) University College of Commerce & Management Studies, Mohanlal Sukhadia University, Udaipur, India.

Abstract

E-Commerce has become the fastest growing sector India because of high demand on goods and services by consumer. Increase in use of internet, smartphone, digital payment and improve logistic has lead to rapid growth of online shopping. The purpose of the study is to examine the growth and impact of e-commerce in India and how it impact on business and consumer. This research is based on the secondary data which is collected from books, journals government report and newspaper articles. In this we are going to discuss the concept type of e-commerce it's advantage challenges and role in developing economy of India. This paper also discuss different e-commerce models such as Business to Consumer (B2C), Business to Business (B2B), Consumer to Consumer (C2C) and Consumer to Business (C2B). The study also helps in examine the issues like cyber security, online fraud, and market competition. The study conclude that e-commerce has become an essential part of business and also growing with technological advancements and digital transformation . The development of e-commerce in India depends on stronger digital infrastructure and ensuring secure online transaction systems.

Keywords: E-commerce, Digital Transformation, Online Business, Consumer Behaviour, Digital Payments, India.

Introduction

E-Commerce have increasingly become an exercise component of business strategy and strong catalyst for economic development. The way of business work in changed by use of information and communication technology (ICT). It has also improve communication between companies customer and employee. E-Commerce provide opportunity to small and medium-sized businesses (SMEs) to complete with large companies. These business can sell their product and service worldwide at lower cost to stop E-Commerce provides opportunities not only to small business but also

to developing countries by giving the access to global market. Many developing countries use E-Commerce to buy and sell goods. However to make the best use of e-commerce the need better internet service advance technology and strong digital infrastructure. E-commerce have become an essential part of modern business environment and continue to play an important role in growth of economy. Therefore before understanding its application and benefit it is important to understand the meaning and concept of E-commerce.

Meaning and concept

What is E-Commerce?

E-Commerce, also called electronic commerce, refers to the buying and selling of products and services electronically through online platforms over the Internet. The technologies used in E-Commerce include mobile commerce (m-commerce), electronic funds transfer (EFT), internet marketing, online transactions, and automated data collection systems. E-Commerce has become one of the largest segments of the electronic industry.

In a broad term e-commerce helps business earn profit, gain a larger market share and improve customer service. E-Commerce is not only about buying and selling products online. Stakeholder such as customer, supplier, government agencies banks and financial institution, managers employee and general public are connected with E-Commerce and the use information technology to improve communication and business transaction.

E-Commerce means paperless exchange of business information which means is this share information in complete transaction without any physical document will stop this work is done through computers Internet and digital system.

Electronic method included are:

- 1. Electronic data interchange (EDI):** this is a way that important documents are exchanged electronically related to business (like invoice purchase orders and bills).
- 2. Electronic Mail (E-mail):** emails are used to communicate with customers suppliers employee and other organisations.
- 3. Electronic bulletin board:** it is an online platform when information can be shared, announcements are made or update the users.

4. **Electronic fund transfer (EFT):** it means transferring money electronic from one bank account to another without using cash or cheques (online payment and bank transfer).
5. **Other network-based technologies:** These include websites, mobile applications, online payment systems, and other digital tools used to support business activities.

Types of E-Commerce

E-Commerce can be classified into six major type they are Business to Business (B2B), Business to Consumer (B2C), Consumer to Consumer (C2C), Consumer to Business (C2B), Direct to Customer (D2C), Business to Government (B2G). However this study focuses on five most widely used and significant type of e-commerce, namely Business to Business (B2B), Business to Consumer (B2C), Consumer to Consumer (C2C), Consumer to Business (C2B), and Direct to Customer (D2C) as these play major role in modern business.

1. B2B (Business to Business): It is a type of e-commerce where business transactions take place between two businesses, such as between a manufacturer and a wholesaler or between a wholesaler and a retailer. B2B companies buy or sell their product and service to other companies. They sell their products to another intermediate buyers, such as wholesaler or distributor then these buyer sell those product to the final customer.

For example: wholesaler purchase goods from manufacturer/seller's website after receiving the goods they sell it to customer through a retail store.

Businesses use B2B because they can buy good in large quantities at lower price this also builds good business relationship with supplier and distributor, which makes the supply chain faster and more efficient.

2. B2C (Business to Consumer): It is a type of e-commerce in which business sell their products and service directly to the customer through internet.

In this customer visit the website to purchase products what they want and place an order. Then these websites send an order details to company, the company delivered the product to customer. B2C is also called as online retailing.

B2C model contain products/service:

- Ticket
- Book
- Computer
- Toys
- Jewellery
- Health and beauty products
- Clothing and other consumer goods.

Effective B2C can be done through proper advertising which attracts more customers also requires investment for hardware and software and support of customer.

3. C2C(Consumer to Consumer): It is a type of e-commerce in which individual consumers buy and sell products or services online through the Internet. Please transaction take place with help of third party website or app. The website usually charges a small commission from the seller. C2C website helps the consumer to sell their belonging such as house, car, motorcycle, furniture, electronic items or rent out a room. Some website charge fee for these service, while some offer them free of cost.

Online classified website are the popular example of C2C where people with help of advertisement sell or buy products directly from individual in this seller is individual and buyer is also individual, they connect each other through online platform.

4. C2B (Consumer to Business): It is a type of e-commerce in which individual offer products or services to businesses. It is opposite of B2C model .

Now in this consumer takes first step by connecting business through the internet. They provide Idea, suggestion, skills or services that company used to improve their products and services. In this model consumer visit website in which companies provide same services.

For example: insurance comparison website shows insurance plans from different companies.

The consumer States the amount they are willing to pay to company after that

company agrees to work within that budget. This is C2B because the customer started the process and business responded.

Example: C2B consumer sell their skills (writing, designs, photography etc.) to a company. Freelancing platform is considered one of the best example.

5. D2C (Direct to Customer): Direct to customer is a type of e-commerce where manufacturers or producer sell their products and services directly to customer from their own websites. Research shows that 55% of consumer prefer buying goods and services directly from the manufacturer over retailer.

In this manufacturer get control over all the activities from packaging to marketing also selling directly to customer can give manufacturers total control over consumer's experience from research to purchase phase.

Growth of E- Commerce in India

(1) Growth of digital sector and internet in India: In recent years India has seen a huge increase in internet and usage of smartphone. India's digital economy is growing rapidly because more people are using digital technology. This growth has created a favourable environment for e-commerce.

Increase use of online service have encourage more people to purchase and sell online. Due to this businesses are adopting different E-Commerce models such as

B2B: Business sell to one business

B2C: Business sell to consumer directly

D2C: Brand sell directly to customer

C2C: Consumer sell to consumer

C2B: Consumer sell to Business

India's digital sector is expected to reach US\$ 1 trillion by 2030. According to recent estimate

(2) Growth and future size of E- Commerce market : Indian E-Commerce has grown significantly. In 2024 the market was around ₹10.82 lakh crore and expected to increase further in future. The growth is mainly supported by rising income level, increasing online shopping and growing demand from customer. It is expected to grow to ₹29,88,735 crore (US\$345 billion) by 2030. According to the ANAROCK

and ET Retail Report, the market may further increase to ₹47,64,650 crore (US\$550 billion) by 2035.

(3) Investment growth in E-Commerce : E-Commerce has attracted large investment from companies and investors that are many start up areas receiving funds are:

- Online grocery delivery
- Quick commerce fashion
- Direct to customer brand

During the year 2024-2025 ₹26,527 crore (US\$3.1 billion) were invested in E-Commerce it was made through 79 funding deals. 31% of start-up was funded in India.

2023 received only ₹11,980 crore (US\$1.4 billion) through 59 funding deals. Which means investment was increased by 128% within one year leading the growth of E-commerce.

(4) Future growth area : Some important areas expected to grow in Indian E-Commerce are :

1. Quick commerce because it provide very fast delivery of products and services to consumer.
2. D2C brand selling product directly to consumer through their own websites and application.
3. Demand from small town earlier online shop where popular in big cities but now people from small town are also purchasing online products and services.

Zepto alone raised ₹11,980 crore (US\$1.4 billion). 44% of all E-Commerce private equity and venture capital investments.

(5) Government support : Government of India is also supporting businesses by providing platform such as ₹Government E- Market from where government department can buy goods and services from businesses. This shows that digital platforms are not only used by customers but also by government organizations for purchasing goods and services.

By August 2025, GeM had achieved transaction value of over ₹15 lakh crore

(US\$177.4 billion). By November 2025, this increased to nearly ₹16.41 lakh crore (US\$194 billion).

(6) Growth of online retail and specific Store : India has become one of the largest online retail markets in the world. Some of the fastest-growing sectors are :

- **Fashion:** increase in online fashion shopping specially among young consumers. Fashion sale may increase ₹68,456–85,570 crore (US\$8–10 billion) by 2028.
- **Beauty and personal Care:** there is growth in online beauty products because of changing lifestyle and increased awareness. Beauty and personal care are expected to reach ₹2,60,610 crore (US\$30 billion) by 2027, annual growth rate of 10%.
- **Subscription E-Commerce:** consumer pay regularly to purchase good and services like monthly subscription.

Overall, e-commerce is becoming an important contributor to India's digital economy and future economic development.

(7) Industry Growth : According to experts there is also rapid growth in E-Commerce industry. Overall industrial growth annually remain between 17% and 22% during 2025. Quick commerce growth is 70%-80%, CAGR. Direct to consumer (D2C) Market crossed nearly ₹8,70,500 crore (US\$100 billion) by 2025. The main reason for this growth is

- Rising income level.
- Increased online shopping.
- Expansion of Tier II and Tier III cities.

Current Trend and future Growth of E-Commerce in India

India's E- Commerce sector has grown in recent years. Flipkart has reported that in current year 2026 how Indian Shop online reach to USD 65–66 billion in 2025, recording an annual growth rate of 19–21%. The report state that the market will expand to USD 170–180 billion by 2030, and will maintain growth rate of over 20% annually.

Quick Commerce which is famous for ultra-fast delivery accounted for around

USD 10–11 billion in sales, representing 16–17% of total e-commerce GMV. It is expected to grow and reach USD 65–70 billion by 2030, contributing nearly half of the additional growth in India's online retail market.

Online shoppers in India has increased rapidly, reaching 290–300 million consumers in 2025. E-commerce is accessible even in smaller cities due to increasing internet penetration, expansion of digital payment systems and growth in the number of online sellers. Tier II and Tier III cities contributed around 50% of new online orders in 2025.

40% to 45% online shoppers are Generation Z (Gen Z) consumer and there online order is up to 50% during 2025. Their shopping behaviour is Influenced by social media, influencer marketing, short videos, and convenient digital payment options.

Compared to other countries such as China India's E-commerce penetration remains low at around 1.6% GDP. This suggests that the Indian e-commerce market has considerable growth potential, particularly in rural regions and among first-time online buyers. Factors such as increasing income levels, better logistics and delivery networks, higher smartphone and internet usage, and the adoption of advanced technologies like Artificial Intelligence (AI) are expected to drive the continued expansion of e-commerce in the future.

Advantage of E- Commerce

Advantage of E- Commerce are classified into 3 categories

- Advantage to Organisation
- Advantage to Consumer
- Advantage to Society

1. Advantage to Organisation

- E-Commerce allows business to sell their product globally in international market with less investment. For example: small clothing bus in Jaipur can sell products
- Leads to higher productivity as employee can complete task quickly
- E- Commerce provide better customer service by providing customer support through chat, email and website at any time.
- Business operation have become faster and more accurate like online ordering,

billing, inventory management and payment.

- Businesses can store and share information digitally instead of paper documents. Thus reduce cost of printing storing and managing records.

2. Advantage to Consumer

- Consumer can shop at any time 24X7 without going to any store.
- Customer have more options of thousand of products available online.
- It easily compare price, feature of products on different website before purchasing.
- It allows consumer to give genuine feedback on particular product.
- Consumer can quickly find products details, specification price.

3. Advantage to Society

- People can order from home they don't have to travel to shop for every purchase reduce traffic congestion and air pollution.
- Now people of village and remote area can purchase products and services leading to rural area development.
- Available of affordable products with good quality at reasonable price.

Challenges faced in E-commerce

Despite of growth and advantage, the e-commerce industry faces several challenges that can affect its growth and smooth functioning. Business must overcome the challenges to provide secure reliable and relevant service to customers full stop some major challenges faced by E-Commerce are discuss below.

1. Running business online or online advertisement is not an easy task. Business have many options. Like many advertisement
 - Search ads (Google)
 - Display ads
 - Social media ads

Business must choose right platform and audience before doing this.

2. If any mistake done by businesses while running online advertisement, it may lose lot of money.
3. Businesses sell similar products online, which has increased competition in the digital market. As a result, they must compete to attract and retain customers. E-Commerce face challenge like cyber security and data privacy (

- risk of hacking, data theft, online fraud)
4. Lack of trust which means that customers prefer less buying online due to security reasons.
 5. Small business has to face large business to compete for same consumer.
 6. Poor internet connection in some rural and remote areas can reduce the growth of E- Commerce.
 7. Businesses must follow the government rules and regulations like taxation, concerned protection, data privacy law.

Conclusion

E-commerce has become an essential part of the modern business environment and has changed the way goods and services are bought and sold. It has created new opportunities for businesses by helping them reach a larger customer base, reduce operating costs, and improve business efficiency. At the same time, it has made shopping more convenient for consumers by providing greater product choices, secure digital payment options, and faster delivery services.

The rapid growth of internet access, smartphone usage, and digital payment systems has contributed significantly to the expansion of e-commerce in India. Government initiatives supporting digitalization and the increasing adoption of online platforms by businesses and consumers have further strengthened this sector. Although e-commerce faces challenges such as cybersecurity risks, intense competition, and technological issues, its advantages continue to outweigh these limitations.

Overall, e-commerce is expected to play an even more important role in India's economic development in the coming years. With continuous improvements in digital infrastructure, innovation, and consumer trust, it will continue to support business growth, create employment opportunities, and contribute to the country's digital economy.

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